Quillwood Credit Partners

Origination and credit | Internal working paper

Indicative Term Sheet
Footscray Build-to-Rent

Senior secured construction facility of A$96.0M, non-binding and subject to credit approval

Prepared for Parkline Developments Pty Ltd

Prepared by Quillwood Credit Partners

8 May 2026

Version 1.0, indicative only

Reference: QCP-TS-2026-0508-PKL

Date: 8 May 2026

Synthetic - for demonstration. All names, entities and figures are fictional.

Confidential. Prepared for the addressee only and not to be relied on by any other party.

1. Transaction Details

Borrower	Parkline Developments Pty Ltd
ABN	51 912 551 762
Sponsor	Parkline Group Holdings Pty Ltd (trading as Parkline Group)
Registered address	Level 6, 52 Spencer Street, Melbourne VIC 3000
Directors	Matthew Hargreaves, Priya Coghlan, Daniel Kostas
Project	214 apartment build-to-rent tower and podium, Footscray VIC, 17,900 sqm GFA
Lender	Quillwood Credit Partners
Date	8 May 2026

Parties and project

2. Purpose of this Term Sheet

This term sheet sets out the indicative terms on which Quillwood Credit Partners would consider providing a senior secured construction facility to Parkline Developments Pty Ltd. It is non-binding, does not constitute a commitment to lend and remains subject to credit approval, satisfactory due diligence and final documentation prepared by Halden Rowe Lawyers.

3. Facility Terms

Term	Indicative position
Facility	Senior secured construction facility with capitalised interest and lease-up period
Limit	A$96.0M
Tenor	42 months: 24 months construction, 18 months lease-up
Margin	3 month BBSW plus 4.75% p.a. on drawn amounts
Establishment fee	1.25% of the limit (A$1.2M)
Line fee	1.00% p.a. on undrawn commitments
Repayment	Refinance or sale of the stabilised asset by maturity

Key commercial terms, indicative and subject to credit approval

4. Sources and Uses

The facility would fund construction costs, professional fees, statutory charges and capitalised interest. Sponsor equity of A$46.0M, comprising the A$21.5M land contribution and A$24.5M cash, must be injected before the first debt drawdown.

Item	A$M
Senior facility	96.0
Sponsor land contribution	21.5
Sponsor cash equity	24.5
Total sources and total development cost (sponsor budget)	**142.0**

Funding structure (LVC 67.6%, LVR 63.6% on A$151.0M)

5. Basis of Sizing

Sizing relies on independent reports, not the Information Memorandum of 9 February 2026. The lender will size to the independent figures and requires the sponsor to fund the QS-assessed shortfall in cash ahead of first drawdown.

Metric	IM	Independent
As-if-complete value	A$166.0M	A$151.0M
Total development cost	A$142.0M	A$145.2M
Hard cost to complete	A$90.2M	A$93.4M
Average rent per week	A$845	A$800

Calloway Ridge Valuers (13 March 2026) and Brennan Tate QS (27 March 2026)

At stabilisation, NOI of A$6.95M on A$96.0M gives a debt yield of 7.2%. NOI does not cover interest at full drawing, so repayment depends on refinance or sale.

6. Security

- First registered mortgage over the Footscray site and improvements.
- General security deed over all present and after-acquired property of the Borrower.
- Guarantee and cost overrun undertaking from Parkline Group Holdings Pty Ltd.
- Assignment of the Hadley Construct design and construct contract, with collateral warranties and a step-in deed.
- Assignment of the management agreement with Parkline Living Pty Ltd and of project insurances.

7. Proposed Covenants

- LVR not to exceed 65.0% on the latest independent valuation.
- Debt yield of at least 7.0% on stabilised NOI at the refinance test.
- Lease-up progress tested quarterly against an agreed leasing plan, with a cash sweep on shortfall.
- No apartment sales and no change of ownership or control without consent.
- Monthly reporting, with QS certification of each drawdown.

8. Conditions Precedent

- Credit approval and satisfactory legal, tax and insurance due diligence.
- Sponsor cash equity of A$24.5M injected, and the A$3.2M QS cost shortfall funded.
- Reliance letters from Calloway Ridge Valuers and Brennan Tate Quantity Surveyors.
- Satisfactory review of Hadley Construct's financial standing and security package.
- Executed security and guarantee documents.

9. Status and Sign-off

This indicative term sheet lapses if not accepted in writing within 30 days of its date.

Prepared by	Credit Analyst, Quillwood Credit Partners
Approved by	Head of Credit, Quillwood Credit Partners (pending)
Accepted for Borrower	Authorised Director, Parkline Developments Pty Ltd

Sign-off block